Monetary Policy Statement

July-December 2009



Bangladesh Bank

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Monetary Policy Statement
July 19, 2009

Executive Summary

Introduction: This Monetary Policy Statement (MPS) is the latest in the series of regular half yearly releases announcing the monetary policy stance of Bangladesh Bank (BB), outlining the stance for FY 10, particularly in its first half(July-December 09). These *ex ante* announcements of monetary policy stance, based on near term outlook for growth and inflation, are intended to anchor inflation expectations of market participants and the general public. As usual, the monetary stance for FY 10 is designed to support attainment of the highest sustainable output growth without triggering escalation of inflation. In accommodating the growth aspirations of the government and the private sector with this stance, BB's programs have of late placed greater directional emphasis on the credit needs of sectors like agriculture and SME typically under-served by the market; seeking to enhance inclusiveness (a qualitative rather than quantitative dimension) of our economic growth. Downward stickiness of lending interest rates and service charges/fees, arising from non-competitive tendencies of financial service providers, are of late also being addressed more directly with mandatory rather than advisory BB guidance.

Growth outcome and outlook: Unlike most other economies in the region and elsewhere, output growth in Bangladesh has thus far been only mildly impacted by the ongoing global economic recession; with estimated 5.9 percent real GDP growth in FY 09 following the 6.2 percent growth of FY 08. Financial markets and institutions in Bangladesh remained free of the toxic assets and contagion afflicting the global financial markets, and output activities meeting domestic demand remained robust in FY 09. Output activities for export demand weakened as exports declined for most items other than apparels and textiles, which also faced some growth slowdown. Decline in capital machinery imports in FY 09 indicated sluggishness in investment activities. Despite incipient signs of recovery of global financial markets and institutions, effects of the global slowdown are widely viewed as likely to linger till mid 2010, i.e., throughout the whole of FY 10, affecting the growth momentum in our export manufacturing and investment activities. Accordingly, FY10 real GDP growth is projected conservatively to be in the range of 5.5 to 6.0 percent, likely to be outperformed if global economy recovers faster and if the various initiatives proposed in the FY10 national budget including the innovative public private partnership (PPP) for infrastructural development can be implemented in right earnest.

Inflation outcome and outlook: FY 09 began with double digit (10.0 percent in July 08) annual average CPI inflation, which came down to single digit levels by the second quarter aided by good domestic agricultural output and the collapse of global commodity price bubble. Annual average CPI inflation continued declining in H2 FY 09 (7.3 percent in May 09), and is likely to have been about 7.0 percent in June 09. The plummeting trends in global commodity prices by and large ceased in the beginning of 2009. Point to point domestic CPI inflation has started edging up from April 09; anecdotal evidences indicate continued strong upward trend in real estate prices, with the attendant potential lagged impact on consumer prices. The decline in domestic annual average CPI inflation is therefore likely to be slower and smaller in FY10, and is projected to be at 6.5 percent by June 2010.

Monetary outcome and outlook, stance for H1 FY 10: Double digit inflation rates and high domestic credit growth (well above 20 percent y-o-y) in Q1 FY09 despite onset of global recession prompted BB's precautionary 25 basis point hike in repo and reverse repo interest rates respectively in September and November 08. Subsequently these hikes were reversed in March 09 as domestic inflation abated and

credit growth eased down, with the global recession weakening export demand and related output activities. Competitiveness of the apparels sector sustained overall export growth at double digit levels, while imports slowed down faster with good domestic food grain output and lower import prices of major commodities including fuel oil. Workers' remittance inflows increased by 22.3 percent in FY 09 despite decline in new recruitments in host markets abroad. The resultant swelling bop current account surplus kept the local foreign exchange and Taka market very liquid throughout FY 09. BB purchased USD 1.48 billion from the local inter bank market in FY 09, taking foreign exchange reserves to new heights exceeding USD 7 billion by Q4 FY 09 even after the lumpy bimonthly ACU settlement. Taka remained under appreciation pressure throughout FY 09 because of slower outflows for imports, but BB acted to keep Taka at a somewhat undervalued stable level with continuous foreign exchange purchases from the local market, to protect export competitiveness and to maintain incentive for inflows from workers abroad. With a view to shoring up domestic demand BB kept credit conditions easy for borrowers, refraining from reverse repo operations particularly in Q4 FY 09, leaving the Taka liquidity from its foreign exchange purchases unsterilized. Yields on treasury securities and interest rates on bank deposits declined promptly in the market awash with liquidity, but with no corresponding decline in lending interest rates or service charges and fees. BB had to address this situation with mandatory rather than advisory instructions to banks about the levels of lending interest rates and service charges/fees, particularly for the priority economic sectors. BB is keeping close watch on market behavior of banks and shall appropriately redress the downward stickiness of lending interest rates by instilling competitive loan pricing practices in the market.

To help the real economy sustain growth momentum in the recessionary global environment, BB shall continue to maintain easy credit conditions in FY10, with special attention to the credit needs of sectors hurt by the slowdown and of sectors like agriculture and SME thus far inadequately served by the market. The monetary program for FY 10 is designed to accommodate 6.0 percent real GDP growth, with inflation projected at 6.5 percent by June 2010. Besides accommodating the public sector borrowing needs estimated in the FY 10 national budget geared towards meeting the challenges from the ongoing global recession, BB's monetary program will amply accommodate the credit needs of the private sector for attaining the targeted level of real GDP growth.

BB has taken steps to strengthen its financial sector oversight, particularly in areas of liquidity, capital adequacy and risk management, seeing to it that banks and financial institutions in Bangladesh continue to be in good shape to support our economic growth efforts, free of contagion and instability from the malaises now afflicting the global financial system.

There are several caveats and downside risks to the growth and inflation expectations underlying the monetary stance outlined above for FY 10. On the external front, although growth projections for major economies are now being upgraded by forecasters, they are yet to be fully confident that global markets and institutions are on path of solid broad based recovery. If global recovery falters or slackens, our export growth, workers' remittance inflows and investment activities may weaken in FY 10, with negative implications for GDP growth. The opposite scenario of unexpectedly faster global recovery will also involve some risk of exacerbating domestic inflation, from possible re-ignition of global commodity price speculation and re-emergence of price bubbles. On the domestic front, agricultural growth will depend, besides favorable weather and reasonable market prices; on adequate and timely availability of irrigation, fertilizers and other inputs to the growers, a challenge not always well addressed in the past. The strong leadership in the agriculture ministry and BB's recently announced agricultural credit program will hopefully maintain a supportive supply side situation in the agriculture sector. Infrastructural inadequacies, particularly of power and gas remain as before severe constraints for rapid growth in all economic sectors; ongoing infrastructure projects and the public private

partnership program announced in the FY 10 national budget will need to be brought to rapid fruition for growth aspirations of the economy to be fulfilled.

BB will stand ready to modify monetary stance appropriately towards more active demand management (tightening credit for non-essential consumption or speculation) if slow output responses in the prevailing easy monetary conditions tend to escalate domestic inflation and to erode competitiveness of exchange rate of Taka. BB shall continually monitor domestic and external developments and stand ready to respond appropriately to challenges for macrofinancial stability and for the growth and poverty reduction aspirations of the government and the population at large.

1. Policy tools and approaches

BB draws up monetary programs for each financial year (July-June), accommodating monetary growth adequate for attaining the projected real GDP growth with inflation in the targeted range. Broad money (M2, currency in circulation plus time and demand deposits) growth path is the intermediate target in the program, with Reserve Money (RM, currency in circulation and balances of scheduled banks with BB) growth path as operating target of BB. The program also tracks the growth paths of several other aggregates/ sub aggregates on the asset and liability side (domestic and foreign assets, credit to public and private sectors, currency in circulation, demand and time deposits and so forth), to help assess the growth supportiveness and likely inflationary impact of monetary expansion.

Reverse repo and repo interest rates are BB's day to day instruments influencing the growth path of reserve money, ultimately to influence inflation via growth path of broad money. Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR) for scheduled banks are the other monetary policy tools, used sparingly in situations of drastic imbalances from major shocks. Recently, in the backdrop of the global economic slowdown the routine reverse repo operations are also being used sparingly, to keep credit conditions easy; and BBs instructions to banks are now more insistent on channeling of adequate credit to sectors like agriculture and SME not well served by the market. Agricultural lending has been made obligatory for all commercial banks, with access to appropriate refinance support for agricultural, SME and other priority sector lending. This directional bias in credit policies is intended to enhance the inclusiveness of financial services and of economic growth by addressing market gaps and failures in reaching out to all population segments. BB's recent policy instructions to banks also include a broader array of ceilings on interest rates and levels of charges/fees for services to clients in priority economic sectors. This was necessitated by the sloth of banks in lowering lending interest rates and charges/ fees in the prevailing easy and very liquid market conditions, while promptly slashing deposit interest rates. To the extent that depositors and borrowers resident in economies with limited openness like Bangladesh are captive clients of financial service providers in the local market, these regulatory interventions in the pricing practices of banks have a consumer protection rationale.

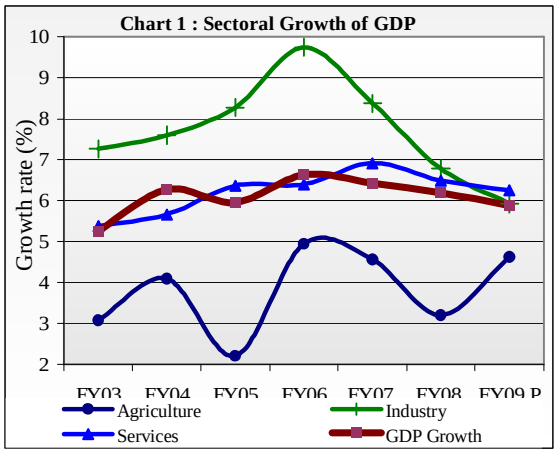
2. Macroeconomic outcome and outlook

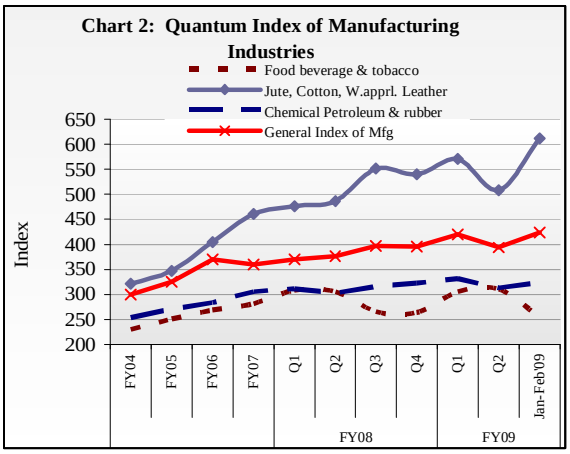
a. Growth: Real GDP growth attained in FY 09 is estimated by BBS at 5.9 percent against 6.2 percent growth of FY 08 and the initial 6.5 percent target for FY09, subsequently revised downward as the global downturn started impacting export growth and investment momentum. Agriculture sector performed strongly, supported by favorable weather and optimistic price expectations, overcoming adversities of the preceding year, but growth in industry and services weakened, mainly due to weakening of export demand.

Agriculture: Overall output of the agriculture sector grew by 4.6 percent in FY 09, against 3.2 percent of FY 08. The crops & horticulture and animal farming sub-sectors registered higher output growth in FY 09 (5.0 and 3.5 percent respectively, against previous year's 2.7 and 2.4 percent), FY 09 growth in the forestry sub-sector was at the same 5.5 percent level of the preceding year. Fishery sub-sector growth weakened in FY09 to 4.0 percent from the preceding year's 4.2 percent, due to decline in shrimp exports.

Industry: Industry sector output grew by 5.9 percent in FY09, weakening from preceding year's 6.8 percent. Manufacturing sub-sector growth weakened significantly from 7.2 percent of FY 08 to 5.9 percent in FY 09; power, gas and water sub-sector growth dipped to 4.5 percent in FY 09 from 6.8 percent of FY 08, reflecting the persistent inadequacy of physical infrastructure in supporting growth efforts. The mining & quarrying sub-sector had modest growth gains, from 8.9 percent of FY 08 to 9.4 percent in FY 09. Construction sub-sector maintained FY 09 growth at the same 5.7 percent level of FY 08.

Services: Output of the services sector grew by 6.3 percent in FY 09, weakening from 6.5 percent of FY 08. Growth in the transport, storage and communication sub-sector declined to 7.6 percent, from 8.6 percent of FY 08; in the financial services sub-sector, growth slowed to 8.0 percent in FY 09 from 8.9 percent of FY 08. Growth decline in both of these major sub-sectors were caused mainly by slowdown in growth of imports and exports in FY 09.

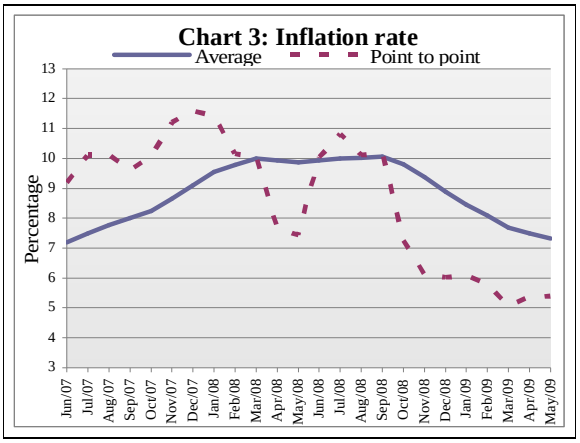


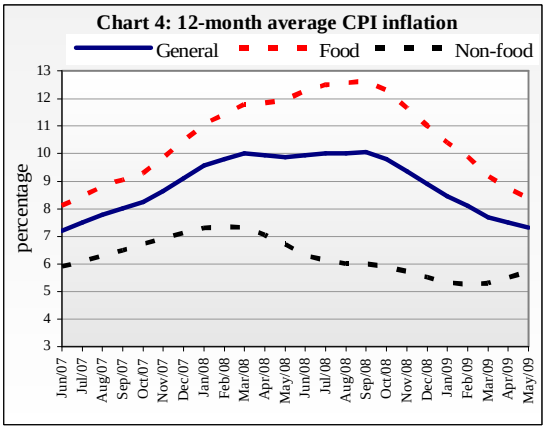


The high, above-trend FY 09 agriculture sector growth may be hard to repeat or outperform in FY 10, except perhaps in the fishery sub-sector if the export markets abroad can come out of recession quickly. With the strong support commitments from the government and BB, FY 10 output growth in agriculture can be expected to be above or near 4.0 percent, barring climatic or other major debacles. Areas meriting attention towards sustained high agricultural output growth over the medium term include large scale domestic production of high quality seeds (including hybrids/super hybrids) of crop varieties suited to different regions of the country; efficient, market-based availability of production inputs; transportation, warehousing and processing of agricultural output; crop insurance(usually hard to initiate) to protect growers and their lenders against losses from output risk and price risk. Subsidies for a well designed crop insurance scheme will be a more efficient alternative to those involved in the current (not very well managed) practices of government purchases at support prices and loan waivers etc after major crop losses.

Outlook for FY10 growth in industry and services will depend substantially on pickup in export demand and in new investment activities. If the global downturn deepens and prolongs, export growth may not be sustained, and large scale return of migrant workers losing jobs in recession ridden host countries may add to difficulties in the domestic scene. With these risks in view, overall FY 10 output growth has been projected conservatively to be in the range of 5.5-6.0 percent. There are indications however of onset of global recovery; major global stock markets have recouped much of the losses incurred at the height of crisis; some of the distressed US financial giants have already paid back the government bailout money they drew earlier; and forecasters including those in IMF and WB have of late upgraded their global growth forecasts. In Bangladesh the FY10 national budget announced expanded social safety net expenditures and support packages for sectors hurt by the global slowdown. These fiscal measures and BB's supportive monetary policies will provide some cushion against weakening of domestic demand and economic activities; and Bangladesh economy may well outperform the 6.0 percent real GDP growth projection, particularly if the infrastructure development initiatives including PPP can be implemented in right earnest.

b) Inflation: The 2008 burst in global commodity price bubble impacted domestic inflation in Bangladesh with some lag. The Inflationary pressures from FY 08 continued in Q1 FY 09 with annual average CPI inflation at double digit levels; easing thereafter with good domestic harvest bringing down food grain prices and with falling import prices of fuel oil and other commodities (charts 3 and 4, table 1). Inflation data for end FY 09 (June 09) are yet to be available, but is likely to have been at or around 7.0 percent. The plummeting trends in global commodity prices by and large ceased in the beginning of 2009, prices of fuel oil and some food items have actually increased thereafter. The April 09 issue of IMF's WEO forecasts one percent decline in consumer prices in emerging and developing economies, and a small increase to positive (one half percent increase to 0.3 percent) in the advanced economies. In Bangladesh point to point CPI inflation has edged up in April and May 09; real estate prices continue in strong upward trend with potential for some lagged impact on consumer prices; and the liquidity overhang in the market if prolonged and not absorbed in productive and supply augmenting uses may also have inflationary consequences. The decline in annual average CPI inflation in FY 10 is therefore expected to be smaller and slower, from 7.0 percent of end FY 09 to 6.5 percent by end FY10(June 10).





Tabel 1: Consumer Price Index and Inflation

Consumer Price Index (CPI) and Rate of Inflation at National Level (Base : FY96=100)												
Period	Twelve-Month Average Basis						Twelve-Month Point to Point Basis					
	General		Food		Non-food		General		Food		Non-food	
	Index	Inflation	Index	Inflation	Index	Inflation	Index	Inflation	Index	Inflation	Index	Inflation
2004-2005	153.24	6.49	158.08	7.90	147.14	4.33	157.45	7.35	162.51	8.73	151.20	5.32
2005-2006	164.21	7.16	*170.35*	7.76	156.56	6.40	169.32	7.54	176.82	8.81	*159.86*	5.73
2006-2007	176.04	7.20	*184.16*	8.11	165.79	5.90	184.89	9.20	194.19	*9.82*	*173.19*	8.34
2007-2008	193.54	9.94	206.78	12.28	176.26	6.32	203.45	10.04	221.57	14.10	179.32	3.54
2008-2009[P]												
July	195.22	10.00	209.07	12.50	177.12	6.13	206.86	10.82	223.94	13.92	184.44	5.93
August	196.81	10.01	211.12	12.56	178.07	6.01	207.27	10.11	223.77	12.36	185.72	6.55
September	198.43	10.06	213.16	12.63	179.12	6.01	210.14	10.19	227.66	12.07	187.10	7.19
October	199.61	9.80	214.57	12.29	179.99	5.89	209.31	7.26	226.88	8.08	186.13	5.95
November	200.61	9.37	215.74	11.66	180.76	5.73	207.14	6.12	223.98	6.68	184.95	5.25
December	201.58	8.90	216.92	11.02	181.45	5.52	204.9	6.03	220.64	6.83	184.29	4.76
January	202.55	8.46	218.08	10.41	182.17	5.33	204.04	6.06	218.56	6.83	185.20	4.88
February	203.48	8.10	219.14	9.88	182.96	5.26	204.02	5.81	217.88	6.15	186.11	5.33
March	204.30	7.69	219.92	9.18	183.86	5.30	204.65	5.04	217.95	4.49	187.58	6.11
April	205.17	7.49	220.75	8.75	184.82	5.50	204.99	5.36	217.68	4.80	189.00	6.53
May	206.05	7.32	221.60	8.36	185.78	5.71	205.78	5.39	218.65	4.89	189.57	6.49

Source : Bangladesh Bureau of Statistics. Note : P = Provisional; R=Revised.

Effective implementation of the various measures announced in the FY 10 national budget for stimulating economic activities and investment including the public private partnership for infrastructural development will be important not just for growth but also for keeping inflationary pressures in check.

c) External sector: Weakening of demand in markets abroad in recession caused decline in FY 09 export of most items other than textiles and apparels; the later (comprising more than three fourth of overall export) suffered some growth slowdown but still kept overall export growth at double digit year on year (11.9 percent) rate in eleven months of FY 09 up to May. Export growth rate for full FY 09 (data yet to be available) is expected to have been in double digits. Import growth in FY 09 was slower because of good domestic harvest reducing food grain import need, overall lower cost of imports due to lower global commodity prices, and lower in capital machinery imports. Year on year import growth came down to single digit level (8.9 percent) in ten months of FY 09 up to April; the growth rate for full FY 09 up to June (data not yet available) may have been still lower. Workers' remittance inflows boomed in FY 09 despite recession in markets hosting Bangladeshi workers increasing by 22.3 percent to a record USD 9.7 billion. The high FY 09 growth in workers' remittance inflows presumably comprise partly savings repatriation from turmoil ridden financial markets abroad and partly lower diversion to informal channel (hundi activities) in the recessionary global situation. Healthy inflows from workers' remittances and exports vis-à-vis low growth in imports for consumption and investment meant swelling surpluses in bop current account; capital account balances also maintained positive trend with much higher FDI inflows than the modest FPI disinvestment outflows. Foreign exchange reserve soared to record height (USD 7.47 billion) at the close of FY 09. Exchange rate of Taka was under appreciation pressure throughout FY 09, but was maintained broadly stable with some undervaluation bias to protect external competitiveness by BB's regular USD purchases from the local market. Monthly average exchange rate was at Taka 69.05 per USD as of June 09, against Taka 68.52 as of June 08.

External sector outcome for FY 10 will depend substantially on the speed of global recovery from the current slowdown. If the recovery falters and the recession prolongs export growth may not be sustained and workers' remittance inflows may also weaken. Assuming the current positive pace of global recovery will continue, Bangladesh will be better off with utilization of the foreign exchange inflows in growth supportive investments than with accretion of ever higher reserves. The monetary program for

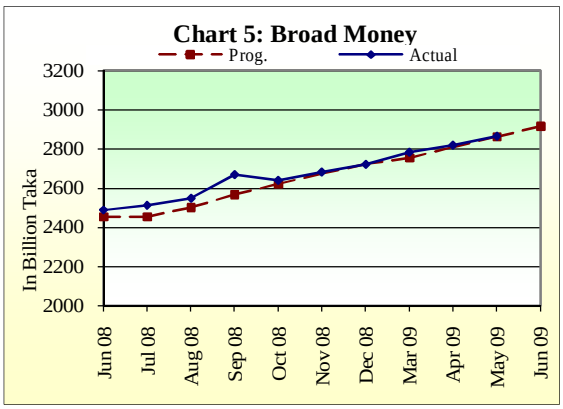
FY 10 accordingly projects the foreign exchange reserves by the end of FY 10 to be about half a billion USD lower than at end FY09, the reserve drawdown for import of investment and consumption goods abating inflationary concerns by using up the liquidity overhang in Taka money market.

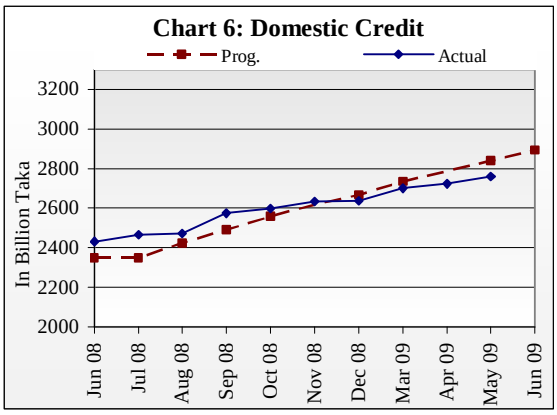
d) Fiscal developments: Fiscal activities in FY 09 slightly underperformed the initial revenue projections of the FY 09 national budget, with estimated revenue of Taka 691.8 billion (11.2 percent of GDP) against initial projection of Taka 693.8 billion (11.3 percent of GDP). Tax revenue collections in FY 09 are estimated at Taka 555.3 billion (8.8 percent of GDP), lower than the initial projection of Taka 567.9 billion (9.0 percent of GDP). Non tax revenues are estimated to be Taka 136.5 billion, which is higher than the initial projection of Taka 125.9 billion. Despite subsequent allocation of additional Taka 34.2 billion in FY 09 budget to cope with effects of the global slowdown, estimated Taka 941.4 billion (15.3 percent of GDP) fiscal expenditure in FY 09 fell short of the initial projection of Taka 999.6 billion(16.3 percent of GDP); with ADP expenditure cutbacks necessitated by implementation capacity constraints. Estimated budget deficit for FY 09 accordingly stood lower at 4.1 percent of GDP, against initial projection of 5.0 percent. Government's bank borrowings in FY 09 stood at Taka 109.6 billion, well short of the initially estimated 135.0 billion.

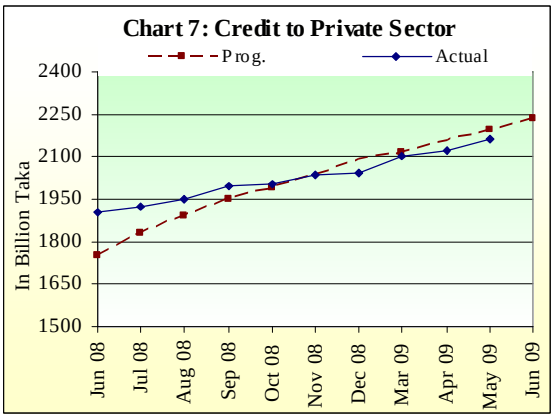
The FY 10 national budget projects public expenditure of Taka 1138.2 billion (16.5 percent of GDP), including ADP allocation of Taka 305.0 billion. Revenue earnings for FY 10 are projected at Taka 794.6 billion (11.6 percent of GDP), involving a budget deficit of Taka 343.6 billion (5.0 percent of GDP), of which Taka 167.6 billion is projected to be financed by domestic borrowing from the banking system. The expansionary expenditure program of the FY 10 national budget is designed to alleviate the likely negative effects from the global downturn; with expanded social safety net expenditure to cushion domestic demand and Taka 50 billion earmarked for support to sectors hurt by the downturn. Agricultural and rural development is targeted for strong thrust with 29.9 percent of ADP allocation, another 27.7 percent of ADP allocation is earmarked for physical infrastructure. Also, another Taka 25.0 billion is allocated to the new public private partnership initiative for infrastructure investment, out of the 22.6 percent of ADP earmarked for the general services sub-sector.

The projected Taka 167.6 billion (2.4 percent of GDP) domestic bank borrowing in the FY 10 budget is somewhat larger than the initial Taka 135.0 billion (2.2 percent of GDP), but need raise no concern about the private sector borrowing needs being crowded out; given the current large liquidity overhang in the market. Indeed, in situations like the present slack in private sector investment activities, expanded public sector borrowing for developmental activities is actually helpful, putting the liquidity overhang to good use in pacing up growth momentum. Even in years of tighter monetary conditions in the past, government's bank borrowing projected in the annual budgets never crowded out private sector borrowing needs, because every year the initial budgetary public expenditure programs underwent subsequent downsizing, requiring lower actual bank borrowing than the initial projections.

e) Money and credit developments: Growth trends of broad money and domestic credit were on upward bias relative to program paths in H1 FY09 (charts 5,6,7 and 8; table 2); with y-o-y credit growth rate well above twenty percent. To nudge down credit growth toward program path BB raised by 25 basis points its repo and reverse repo interest rates in September and November 08 respectively. Credit demand eased down in H2 FY 09 as import growth slowed down due to lower food grain import needs and lower global prices of commodities, investment activities slackened in the recessionary external situation.







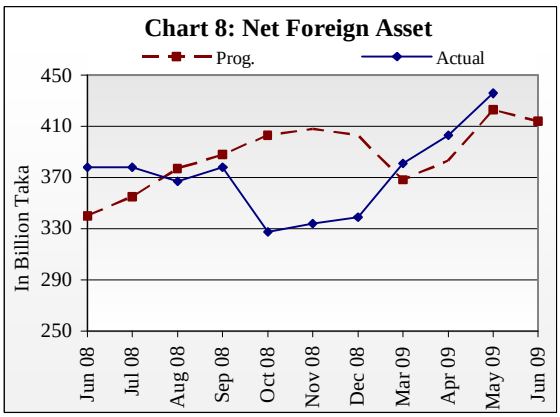
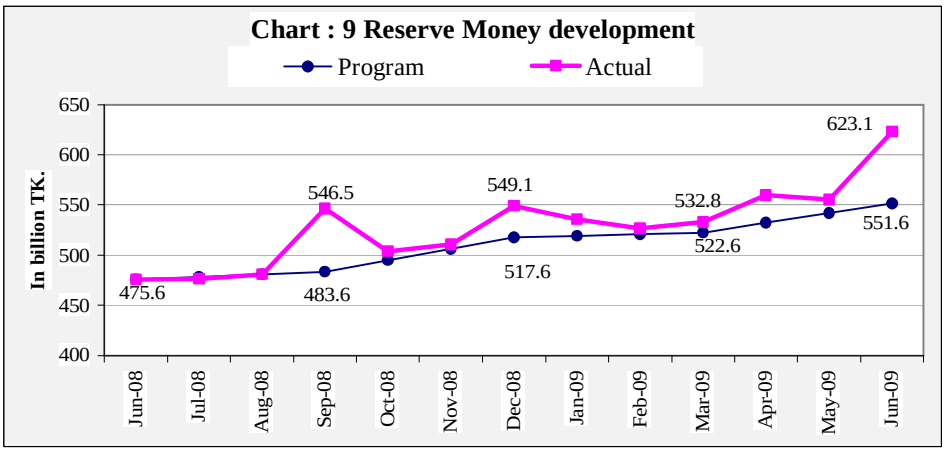


Table 2: Monetary aggregates (y-o-y growth in percent)

Table 2: Monetary Aggregates (Y-o-Y growth in percent)

	FY 07	FY 08	Sep-08	Dec-08	Mar.09	May-09	Jun-09 (est.)	Jun-10 (Prog.)
1. Net Foreign Assets	49.42	15.07	11.52	3.65	12.13	27.09	23.90	-4.10
2. Net Domestic Assets	12.57	18.08	25.78	20.33	21.13	17.45	16.00	19.30
Domestic credit	14.39	21.83	25.33	20.39	18.76	16.40	17.10	18.70
Credit to the pub. sec.	12.43	11.68	21.29	15.85	20.82	17.02	24.50	25.30
i) Credit to the central Govt.	13.79	32.79	17.29	16.66	26.86	23.88	26.20	29.60
ii) Credit to the other non-fin. Pub. Sec.	9.28	-39.41	43.41	12.24	-1.51	-10.74	15.40	0.00
Credit to the pvt. Sec.	15.01	24.94	26.55	21.77	18.18	16.23	15.00	16.70
3.Broad money	17.06	17.61	23.54	17.88	19.83	18.82	17.20	15.50
4.Reserve money	16.10	20.64	31.51	17.33	26.99	20.29	31.00	3.50

Both foreign exchange and Taka liquidity swelled in the domestic market in the later months of FY 09; with low outflows for imports and other settlements from the buoyant inflows of workers' remittances and export receipts. To keep domestic borrowing conditions easy in the recessionary global environment BB reversed in March 09 its earlier hike in repo and reverse repo interest rates, and in Q4 FY 09 also refrained from reverse repo operations, leaving unsterilized the Taka liquidity from its regular purchase of USD funds from the interbank market. The resultant surge in Taka liquidity meant surge in reserve money (currency in circulation plus balances of banks with BB) growth (chart 9).



Taka balances of banks with BB stood Taka 98.9 billion in excess of CRR as of end FY 09. Interbank overnight interest rates plummeted as low as 0.10 percent, yields on treasury bonds/bills and interest rates on deposits declined, but banks displayed no enthusiasm for corresponding decline in their lending interest rates. BB addressed this downward stickiness of lending interest rates by prescribing ceilings on lending interest rates and charges fees for borrowers in priority economic sectors, To promote more inclusive equitable and broad based growth by redressing the market gaps and failures, BB has taken more extensive recourse to mandatory rather than advisory directional guidance and refinance support for bank lending to agriculture(now obligatory for all commercial banks) and other priority sectors like SME not served adequately or spontaneously by the market. Because branch-based delivery of small loans to rural farming households will be costly and unviable for urban based commercial banks they are getting engaged in agricultural lending indirectly through locally active microfinance organizations; they can also creatively engage with mobile phone companies to introduce mobile phone based banking, using the IT platforms and area agent networks of the later to disburse and recover loans directly to and from small borrowers in rural areas, expanding into new customer bases cost effectively and quickly.

The government and BB has finalized steps for obtaining sovereign credit rating for Bangladesh, to facilitate borrowing abroad by private sector industrial enterprises and confirmation of credit lines on more favorable terms. Country risk premiums charged on loans and credit confirmation lines are reportedly higher for unrated countries. Sovereign credit rating of Bangladesh is therefore expected to lower these costs for private sector borrowers and banks; there are no plans however for government borrowing on non-concessional commercial terms from the international market.

3. Monetary stance for H1 FY 10

The supportive monetary conditions prevalent in H2 FY 09 will be continued in FY 10 to cushion domestic economic activities against likely shocks from the ongoing global downturn and to restore investment momentum. Key projections of monetary and credit growth in the FY 10 monetary program may be seen at last column of Table 2; the program is designed to accommodate 6.0 percent real GDP growth, with 6.5 percent inflation and estimated 3.0 percent decline in income velocity of money. Besides tracking the monetary and credit aggregates, BB will maintain constant watch on trends of exchange rates and interest rates, intervening as and when necessary to protect competitiveness of Taka and to maintain orderly, stable conditions congenial for both savers and investors. The monetary stance will be modified appropriately if growth or inflation prospects change substantially, modifications effected or intended will be reported in the next MPS due in January 2010.

As usual, there are several caveats and downside risks to the growth and inflation expectations (domestic and external) underlying the monetary stance outlined for FY 10. The global economy is recovering from recession and growth forecasts are being upgraded, but analyst are still not altogether sanguine that the global financial markets and institutions are out of the woods and on course of solid broad based recovery. If missteps cause global recovery to falter or slacken, growth in our exports and workers' remittance inflows may not be sustained, and investment activities may weaken further; with negative consequences for growth and economic well-being. The opposite scenario of unexpectedly rapid global recovery will heighten risks of re-kindling of global commodity price speculation and re-emergence of price bubbles, exacerbating inflation in our economy now carrying large overhang of excess liquidity.

In the domestic front, reaping fruits from the bold initiatives of the FY 10 national budget towards addressing the infrastructure deficiencies and speeding up growth in various sectors will depend crucially on capacity for efficient implementation, perennial underperformance of ADPs in annual national budgets indicate capacity limitations.

BB is strengthening oversight on liquidity, capital adequacy and risk management in banks and financial institutions to protect the domestic financial sector from instabilities of the kind now afflicting markets in advanced economies; in the last MPS issued in January 09, BB mentioned the need for appropriate limits preventing excessive leveraging by corporates, to reduce the risks of their financial distress in economic downturns. Liquidity requirements and leveraging limits may also be desirable for capital market institutions in broker-dealer roles. BB stands ready for engagement with other regulators and stakeholders in following up such issues. Over the longer term, fostering cultural attitudes relying predominantly on equity-based rather than debt-based investments and on disposable income-based rather than credit-based consumption may be better safeguards of financial stability than arrays of regulations of ever increasing complexity.

BB will continually monitor the unfolding domestic and external developments, and will stand ready to intervene appropriately to meet challenges for macrofinancial stability and for the growth and poverty reduction aspirations of the government and the population at large.

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